As could be expected, BI preferred Scottish companies—BI's primary agents in south India, A. & F. Harvey Bros and Binnys, were Scottish—and never appointed Indian firms.[54] In this period of expanding trade and potentially greater competition, Mackinnon was keenly aware of the need for active and continuing support from their Agents at the various ports. He took a close interest in the arrangements on behalf of BI, whether in minor ports like Bimilipatnam, Cuddalore or Tuticorin or in the shipping hubs of Rangoon, Madras or Bombay. A constant stream of instructions and suggestions passed from him to his men in Calcutta. 'In dealing with agencies such as Nicol and Company, B. Bros [Bulloch Brothers] and Binny and Company, and indeed with all agencies,' he advised, 'great courtesy of language and the avoidance of anything like bumptiousness … The firms I have named have all considerable influence for good or evil, and I should not like without great provocation to quarrel with any of them.'[55] This courtesy was rarely, if ever, extended to its Indian clientele—a trigger for the launch of SSNCo. Such was the close bonding between principal and agent that BI went to the extent of bailing out Binnys when in late 1906 there was a run on it following the Arbuthnot crash.[56]

BI's dependence on local Agents, as we shall soon see, complicated matters.

The primary responsibility of the Agents was to look after the interests of a ship when it was at port. This included 'the arranging of pilotage, towage and a berth for the ship, the signing of the bills of lading', etc.[57] While the Agent was paid a fee for providing these services, the firm also issued tickets and booked cargo, making a tidy income on the commission. While the freight and passage money collected by the Agent was credited to BI, wages, port dues, provisions and supplies were debited. In addition, 5 per cent commission was charged on private and 2½ per cent on government freight and on passenger tickets.[58] Even for a huge company such as Binnys, its Agency of BI (along with the management of the Buckingham and Carnatic Mills) was the mainstay.[59] The description by the official historian of Binnys of the shipping agency as 'a profitable line' is an